



PAPER – 1: FINANCIAL REPORTING



QUESTIONS

Case Scenario I

ABC Ltd. is a dynamic company engaged in strategic acquisitions to expand its business portfolio. As part of its growth strategy, the company has recently acquired PQR Ltd. and RST Ltd. While these acquisitions present growth opportunities, these acquisitions also include ongoing lawsuits against the acquired companies. However, ABC Ltd. has secured indemnities from the respective sellers to mitigate potential financial risks associated with these legal matters. Following acquisitions took place during the year

- (i) ABC Ltd. acquired a beverage company PQR Ltd. from XYZ Ltd. At the time of acquisition, PQR Ltd. is the defendant in a court case whereby certain customers of PQR Ltd. have alleged that products of PQR Ltd. contain pesticides in excess of the permissible levels, which have caused them health damage. PQR Ltd. is being sued for damages of ₹ 2 crores. XYZ Ltd. has indemnified ABC Ltd. for the losses, if any, due to the case for amount up to ₹ 1 crore. The fair value of the contingent liability for the court case is ₹ 0.70 crore.
- (ii) ABC Ltd. pays ₹ 50 crores to acquire RST Ltd. from MN Ltd. RST Ltd. manufactured products containing fiber glass and has been named in 10 class actions concerning the effects of these fiber glass, MN Ltd. agrees to indemnify ABC Ltd. for the adverse results of any court cases up to an amount of ₹ 10 crores. The class actions have not specified amounts of damages and past experience suggests that claims may be up to ₹ 1 crore each, but that they are often settled for small amounts. ABC Ltd. makes an assessment of the court cases and decides that due to the potential variance in outcomes, the contingent liability cannot be

measured reliably and accordingly no amount is recognised in respect of the court cases.

On the basis of the facts given above, chose the most appropriate answer to Questions 1 to 5 below based on the relevant Indian Accounting Standards (Ind AS).

1. At what amount would ABC Ltd. account for the identified liability related to contingent liability and the indemnification assets at the time of acquisition of PQR Ltd. related to court case by the customer?
 - (a) ₹ 2 crores; ₹ 1 crore
 - (b) ₹ 1 crore; ₹ 1 crore
 - (c) ₹ 0.70 crore; ₹ 1 crore
 - (d) ₹ 0.70 crore; ₹ 0.70 crore
2. What will be the impact on goodwill due to recognition of such liability and indemnified asset?
 - (a) The net impact on goodwill will be Nil
 - (b) Decrease in the value of Goodwill by ₹ 0.30 crore
 - (c) Increase in the value of Goodwill by ₹ 0.30 crore
 - (d) Increase in the value of Goodwill by ₹ 1 crore
3. Suppose in case the fair value of the identified liability is ₹ 1.20 crores instead of ₹ 0.70 crore, then what will be the value of the liability and the indemnification assets at the time of acquisition of PQR Ltd.?
 - (a) ₹ 2 crores; ₹ 1 crore
 - (b) ₹ 1.20 crore; ₹ 1 crore
 - (c) ₹ 1 crore; ₹ 1 crore
 - (d) ₹ 1.20 crores; ₹ 1.20 crores
4. What will be the impact on goodwill due to recognition of such liability and indemnified asset?
 - (a) Increase in the value of Goodwill by ₹ 1 crores
 - (b) Decrease in the value of Goodwill by ₹ 0.20 crore

- (c) Increase in the value of Goodwill by ₹ 0.20 crore
- (d) The net impact on goodwill will be Nil
5. On acquisition of RST Ltd. at what amount should indemnification asset be accounted for in relation to 10 class actions?
- (a) ₹ 10 crores
- (b) ₹ 1 crore
- (c) Nil
- (d) ₹ 9 crores

Case Scenario II

Choose the most appropriate answer to Questions 6 to 10, based on below mentioned facts:

Date	Amount (₹)	Event
1 st January, 20X6	7,500	Asset acquired with depreciation to be charged based on useful life of 10 years
On 31 st December, 20X7	240	Indicators of impairment noted and impairment allowance accounted
On 28 th February, 20X9		Assets has been classified as held for sale
On 28 th February, 20X9	4,600	Fair value less costs to sell
On 30 th June, 20X9	5,300	Fair value less costs to sell

6. The amount of depreciation on the asset for the year 20X8 would be-
- (a) ₹ 750
- (b) ₹ 720
- (c) ₹ 240
- (d) ₹ 120
7. The amount of depreciation on the asset for the year 20X9 would be-
- (a) ₹ 750
- (b) ₹ 720

- (c) ₹ 240
- (d) ₹ 120
- 8. What will be the carrying value of the asset immediately before its classification as 'Held for Sale' as on 28th February, 20X9?
 - (a) ₹ 4,920
 - (b) ₹ 5,040
 - (c) ₹ 4,600
 - (d) ₹ 5,300
- 9. What will be the carrying value of the asset immediately after its classification as 'Held for Sale' as on 28th February, 20X9?
 - (a) ₹ 4,920
 - (b) ₹ 5,040
 - (c) ₹ 4,600
 - (d) ₹ 5,300
- 10. What will be the amount of reversal of impairment loss and the carrying value of the asset after reversal of impairment loss as on 30th June, 20X9?
 - (a) ₹ 560; ₹ 5,300
 - (b) ₹ 440; ₹ 5,040
 - (c) ₹ 560; ₹ 5,160
 - (d) ₹ 700; ₹ 5,300

Ind AS 28 "Investment in Associates & Joint Ventures"

- 11. X Ltd. acquired a 10% interest in V Ltd. for ₹ 50,000 on 1st June, 20X6. The investment in V Ltd. was accounted for as equity investment (not held for trading) for which irrevocable option has been availed for subsequent measurement of financial assets at FVTOCI. X Ltd. recognized an increase in fair value of ₹ 30,000 in other comprehensive income for the year ended 31st March, 20X7.

X Ltd. acquired an additional 25% interest in V Ltd. for ₹ 2,00,000 on 1st April, 20X7 and achieved significant influence. The fair value of V Ltd.'s net assets was ₹ 2,50,000 at June, 20X6 and had increased to ₹ 4,00,000 on 1st April, 20X7. V Ltd. recorded profits after dividends of ₹ 1,00,000 between 1st June, 20X6 and 1st April, 20X7.

How should X Ltd. account for an investment in V Ltd. on account of piecemeal acquisition when such investment provides X Ltd. significant influence over V Ltd.? Pass necessary journal entries for the same.

Ind AS 109 "Financial Instruments"

12. On 1st April, 20X1, ABC Ltd. issues a 10- year bond with a par value of ₹ 15,00,000 and an annual fixed coupon rate of 8%, which is consistent with market rates for bonds with similar characteristics. ABC Ltd. uses Secured Overnight Financing Rate (SOFR) as its benchmark interest rate. At the date of inception of the bond, SOFR is 5%. At the end of the first year:

- SOFR has decreased to 4.75%; and
- The fair value of bond is ₹ 15,38,110. This value is consistent with an interest rate of 7.6%.
- The remaining cash flows on bond are ₹ 1,20,000 per year for nine years and ₹ 15,00,000 at the end of ninth year. These cash flows discounted at 7.6% equals ₹ 15,38,110.

ABC Ltd. assumes a flat yield curve, that all changes in interest rates result from a parallel shift in the yield curve, and that the changes in SOFR are the only relevant changes in market conditions.

Following discounting factors may be considered

Discount rate @7.75%	Present value of ₹ 1 payable
At the end of year 9	51.1 paise
Cumulatively for the years 1–9	6.312
At the end of year 10	47.4 paise
Cumulatively for the years 1–10	6.786

Required

What is the amount transferred to the OCI at the end of Year 1 when bonds were measured at fair value?

Ind AS 32 "Financial Instruments: Presentation"

13. On 1st April, 2X01, A Ltd. issued a 10% convertible debenture with a face value of ₹ 1,000 maturing on 31st March, 2X11. The debenture is convertible into equity share of A Ltd. at the option of the holder at a conversion price of ₹ 25 per share. Interest is payable half-yearly in cash. At the date of issue, A Ltd. could have issued non-convertible debt with a ten-year term bearing a coupon interest rate of 11%.

On 1st April, 2X06, the convertible debenture has a fair value of ₹ 1,700.

A Ltd. makes a tender offer to the holder of the debenture to repurchase the debenture for ₹ 1,700, which the holder accepts. On the date of repurchase, A Ltd. could have issued non-convertible debt with a five-year term bearing a coupon interest rate of 8%.

Required

How does A Ltd. account for the repurchase?

Ind AS 103 "Business Combinations"

14. On 1st April, 20X1, PQR Ltd. acquired 30% of the shares of XYZ Ltd. for ₹ 8,000 crores. At 31st March, 20X2, PQR Ltd. recognised its share of the net asset changes of XYZ Ltd. using equity accounting as follows:

(Amounts ₹ in crores)

Share of profit or loss	700
Share of exchange difference in OCI	100
Share of revaluation reserve of PPE in OCI	50

On 1st April, 20X2, PQR Ltd. acquired the remaining 70% of XYZ Ltd. for cash of ₹ 25,000 crores. The following additional information is relevant at that date.

(Amount ₹ in crores)

Fair value of the 30% interest already owned	9,000
Fair value of XYZ Ltd's identifiable net assets	30,000

Required

How should such business combination be accounted for?

Ind AS 103 “Business Combinations”

15. On 1st January, 20X1, H Ltd. acquired all of the share capital of S Ltd. for ₹ 15,00,000. The book values and the fair values of the identifiable assets and liabilities of S Ltd. at the date of acquisition are set out below, together with their tax bases in S Ltd.’s tax jurisdictions. Any goodwill arising on the acquisitions is not deductible for tax purposes. The tax rates in H Ltd.’s and S Ltd.’s tax jurisdictions are 30% and 40% respectively.

Net assets acquired	Book values ₹ '000	Tax base ₹ '000	Fair values ₹ '000
Land and buildings	600	500	700
Property, plant and equipment	250	200	270
Inventory	100	100	80
Accounts receivable	150	150	150
Cash and cash equivalents	130	130	130
Total assets	1,230	1,080	1,330
Accounts payable	(160)	(160)	(160)
Retirement benefit obligations	(100)	-	(100)
Net assets before deferred tax liability	970	920	(1070)
Deferred tax liability on differences between book values and tax bases (₹ 50 @ 40%)	(20)		
Net assets at acquisition	950	920	1,070

Calculate deferred tax arising on acquisition of S Ltd. and goodwill based on the above information.

Ind AS 21 “The Effects of Changes in Foreign Exchange Rates”

16. P Ltd., incorporated in India owns 70% interest in foreign entity, S Ltd. P Ltd. has INR (₹) as its functional currency while S Ltd. has US dollars as its functional currency. P Ltd. sells its entire investment in S Ltd. for ₹ 3,200 thousand. The following information is provided:

(₹ in thousand)

Particulars	S's Total	P's share (70%)	NCI (30%)
Net assets	4,000	2,800	1,200
Foreign currency translation reserve gain	900	630	270

Required:

How does an entity account for cumulative translation adjustment (CTA) on disposal of a foreign subsidiary?

Ind AS 2 “Inventories”

17. Following information have been provided for A Ltd. which account for its inventories by using FIFO cost formula:
- Full capacity is 10,000 labour hours in a year.
 - Normal capacity is 7,500 labour hours in a year.
 - Actual labour hours for current period are 6,500 hours.
 - Total fixed production overhead is ₹ 1,500,
 - Total variable production overhead is ₹ 2,600.
 - Total opening inventory is 2,500 units.
 - Total units produced in a year are 6,500 units.
 - Total units sold in a year are 6,700 units.
 - Total closing inventory is 2,300 units.

Required

How will the overhead cost be allocated to inventory at normal capacity and at less than normal production for the current year based on the above information and also show how much expense will be recognized in the statement of profit and loss?

Ind AS 7 "Statement of Cash Flows"

18. The opening balance sheet at 1st April, 20X6 of an Indian company (which account for its transactions in INR (₹), which consists of cash of ₹ 1,00,000 and share capital of ₹ 100,000. The Company borrows a long term loan on 30th September, 20X6 for US \$ 2,200 when the rate of exchange is 1 US \$ = ₹ 87. There are no other transactions during the year. The exchange rate at the balance sheet date of 31st March, 20X7 is 1 US \$ = ₹ 85.

The summarized balance sheet at 31st March, 20X7 is as follows:

	₹	₹
Assets		
Cash (1,00,000+1,91,400)		2,91,400
		2,91,400
Equity and liabilities		
Capital and reserves		
Share capital	1,00,000	
Other Equity		
Retained Earning	4,400	1,04,400
Non- current liabilities		
Long -term loan		1,87,000
Total equity and liabilities		2,91,400

Required:

How the foreign exchange difference arising from unsettled transactions will reflect in the Statement of Cash Flows?

Ind AS 24 "Related Party Disclosures"

19. Mr. Y's father owns 100% of the shares in A Ltd. Mr. Y and Mrs. Y own 100% of the shares in B Ltd. Ms. Z who is Mrs. Y's sister, provides

book-keeping services from time to time to B Ltd. However, Ms. Z is not an employee of B Ltd. A Ltd. has increased its loan of ₹ 1,50,000 to B Ltd. to ₹ 2,00,000 during the year, for which A Ltd. charges a below market rate of interest.

Required:

- (i) State whether Mr. Y's father & Mrs. Y's sister are related party of B Ltd.
- (ii) What disclosure is to be made in the financial statements of both A Ltd. & B Ltd. with respect to the loan given by A Ltd. to B Ltd.?
- (iii) Whether B Ltd. is required to disclose the dealings with the sister of Mrs. Y in its financial statements?

Ind AS 102 "Share-based Payment"

20. At 1st April, 20X1 an entity enters into a share-based payment arrangement with its employees. The terms of the award are as follows:

- Employees are required to work for the entity for five years; after that they will receive a cash payment equal to the value of the entity's shares.
- If the entity achieves a successful IPO during the five -year period, the employees will receive free shares rather than a cash payment. So, employees might receive free shares at the time of IPO or a cash payment at the end of 5th year, but not both.
- No employees are expected to leave the entity over the next five years.
- At the date of the award and till the end of second year, it was not probable that a successful IPO would occur before year 5.
- At the end of year 3, a successful IPO becomes probable; and management expects it to occur in year 4.
- At the end of year 4, a successful IPO occurs; and employees receive free shares.
- The fair value of the equity-settled award alternative is ₹ 1,000 at the grant date. The fair value of the cash-settled alternative,

ignoring the probability that an IPO will happen within the five years, is as follows:

- ₹ 50 at the end of year 1;
- ₹ 500 at the end of year 2;
- ₹ 100 at the end of year 3; and
- ₹ 50 at the end of year 4.

Required:

How the entity would account for this transaction?